Weiss Cryptocurrency Ratings

WCY-112918

Bitcoin Cash wars finally wind down

by Juan Villaverde on November 29, 2018 at 4:10 pm EST (2018-11-29)



Over the past couple of weeks, our ratings model has produced quite a few downgrades and very few upgrades.

But that's normal in declining markets. Our risk/reward index looks for stability and positive trending. It doesn't like abrupt change, let alone abrupt downside.

Meanwhile, all the fundamentals that we track — technology and adoption — are holding firm and positive.

Another positive factor: The virtual end of the Bitcoin Cash war, which was blamed for the recent Bitcoin plunge.

You see, Bitcoin Cash normally forks about every six months for maintenance and to update software. Usually, the old version of the software quickly fades away and the upgraded or updated version takes over.

Why? Because *typically*, the Bitcoin Cash community overwhelmingly backs the new blockchain.

But that's not what happened on November 15! Instead, we witnessed a bitter feud between rival factions — Bitcoin ABC and Bitcoin SV.

The good news is that, after a week and a half of furious attacks and counterattacks, both sides have started to come to their senses. They're not back in bed together. But they've at least decided to stop lobbing bombs to destroy each other's platforms.

The peace gives us a chance to examine the merits of what each side is doing. Ironically, both want the same thing — to push the technology that powers Bitcoin forward, to make it more useful and more scalable.

Bitcoin Cash Upgrades by the ABC Faction

Loosely construed, Bitcoin ABC's motto is: *The best electronic cash for the world.* What's ironic is that their full roadmap for development will take years to implement (see this post for details), and their November 15th update made only a couple key changes:

First, it allowed external messages to be signed into a transaction on the blockchain. Why is this important? Because it allows critical information or data (called an "oracle") to come in from outside the ledger. And then it lets the oracle trigger a smart contract when certain conditions are met.

Yes, I know that may sound a bit cryptic. But here's a concrete example: You set up a charity to help homeowners deal with tragic events that insurance won't cover. A hurricane hits and causes massive flooding. That's an oracle, critical data coming in from the outside. As soon as the metric for damage hits a critical threshold, bang! The smart contract is triggered, and funds are paid out to the beneficiaries.

All the November 15th upgrade did was to give the network the ability to make sure that the outside data comes from a trustworthy source. No big deal!

Second, it allowed for sorting transactions by their transaction ID number. This is also no huge deal. They call it "canonical transaction ordering." And the benefit is that it opens the door to processing transactions in parallel (rather than sequentially). That's important because doing things simultaneously is a lot more efficient than one at a time. It has the potential to increase the scalability almost exponentially.

Bitcoin Cash Upgrades by the SV Faction

The SV group opposed these changes vehemently. They said it was contrary to Bitcoin founder Satoshi Nakamoto's vision. But at the same time, they also had upgrades of their own:

First, they want to quadruple the size of blocks on the block chain — from 32 megabytes to 128 megabytes. Bigger blocks can hold more transactions, so even if blocks continue to be written at the same rate, the number of transactions per second can still increase dramatically.

SV's stated aim (the "Teranode Project") is to push this solution to its limits, eventually to 1 terrabyte. Theoretically, they say, that could enable processing speeds between 4 million and 7 million transactions per second.

Using today's technology, we don't see how that's physically possible, while still retaining a semblance of decentralization on the Bitcoin blockchain. But that's using today's technology. Tomorrow may be another matter.

Second, they want to increase the number and variety of complex operations allowed in each block. Bitcoin SV believes some of the original operations that were allowed in the early days of Bitcoin should be re-introduced. This would allow more complex smart contracts to be run on the Bitcoin SV blockchain.

What both camps have in common

Although they have different ways of getting there, both camps are (a) focusing on on-chain transactions, and (b) increasing the complexity of operations permitted on their blockchains.

At present, Bitcoin ABC's roadmap seems more realistic. But now that Bitcoin SV is officially a separate network, we'll also be taking a careful look at it when it comes up for its first Weiss Rating a few weeks from now.

From a broader perspective, we question the policy of continuously forking off the Bitcoin Cash blockchain and attaching the Bitcoin name to all the new forks.

Technical innovation and new ideas on how to scale slow-moving Proof-of-Work blockchains are always welcome. But the frequency of these experiments hurts the Bitcoin brand and confuses newcomers to cryptocurrency markets.

As Jackson Palmer said recently in a podcast, imagine how confused a new user might be if told to download a new payment app from the App Store, only to find a half-dozen competing versions to choose from.

Remember, great technology by itself is no guarantee of success in the crypto markets. You also have to have a product people can understand, use easily, and trust.

Achain (ACT), a variation of EOS with pluses and minuses

Not long ago, most of the new crypto platforms we saw being launched claimed to be new and improved copies of Ethereum.

Achain (ACT) is different. It aims to be a new and improved EOS.

It started by copying EOS' consensus algorithm, Delegated-Proof-of-Stake (DPoS). DPoS, you recall, involves no mining. Instead, holders of the platform's native token vote to select validators — people empowered to write new blocks into the blockchain and be compensated for doing so.

The advantage of this is that it puts the people with the most money invested in charge of running the network. That's very different from Bitcoin-style Proof-of-Work, where any malicious actor with sufficient computing resources can attack the network by mining empty blocks and rejecting transactions.

Are such worries far-fetched? Far from it, as the bitter tribal feud between Bitcoin ABC and Bitcoin SV has amply demonstrated.

A second advantage of DPoS is that validators — which Achain calls "Agents" — are limited in number. In fact, only 99 can be elected.

If two thirds of the 99 agree an upgrade is necessary, the change will be accepted by the ledger, and its rules will be upgraded. This gives Achain an element of basic governance that sets it apart from the competition.

A third advantage of DPoS ledgers is ability to scale. Achain, for instance, can effortlessly perform 1,000 transactions per second (TPS). By comparison, non-DPoS ledgers strain to process 100 TPS. (Bitcoin-style Proof-of-Work ledgers are lucky to do 20 TPS.)

Other features Achain developers say make Achain superior to other smart-contract platforms include:

"Continuous forks"

Anyone can have their own smart-contract platform under the Achain umbrella simply by copying Achain and making a few customizable adjustments.

Achain calls this continuous forking. But these new customized platforms are really just side-chains, interconnected with one another via the Achain main blockchain. Aurorachain, which we previously reviewed, is an example.

Like DPoS, there is nothing special or unique about this. Other crypto platforms do the same thing. In fact, side-chains are an increasingly popular way of scaling up to accommodate very large numbers of applications and transactions all running at the same time.

Emphasis on inter-operability

Every Achain fork (or side-chain) will be able to interact easily with all the others. To be sure, such inter-operability is indeed a benefit. But again, it's hardly unique. Virtually every smart contract platform that uses side-chains can do the same thing.

Fixed token supply

This means all uses of the platform have a user fee attached to reward Agents (validators) for writing new blocks. By contrast, EOS creates new tokens to reward validators.

Achain says a fixed supply is better because it makes the tokens more likely to appreciate in value. But this is disingenuous. What's actually fixed is the supply of tokens individual side-chains can create. But there's no ceiling on the *number* of side-chains. So logically, the total supply of ACT is effectively *un*limited.

In our opinion, the EOS model of issuing small quantities of tokens on a fixed, pre-set schedule does a MUCH better job of creating value for token holders.

"Blockchain as a Service"

Beyond the Achain distributed ledger and ACT tokens associated with it, there is also the Achain company, which runs a blockchain consultancy.

A business seeking guidance on how to use DLT in its operations might seek advice from the Achain company's software engineers. Or ask them to build a custom blockchain tailored to its specific needs.

This consulting business is a major endeavor for Achain, and it's a good one. As distributed ledger technology (DLT) moves toward mainstream adoption, demand for such services will likely go through the roof.

Achain boosters say the solutions offered by the consulting company will create new forks (or side-chains). And the more of these there are, the greater the demand for ACT to pay the user fees for whatever smart contracts or applications run on them.

This, however, is another specious argument. As we've previously seen, not every dApp needs its own token. For many, it is a needless complication. Accordingly, it is entirely likely some consulting clients will balk at any Achain side-chain solution (which requires using ACT).

That creates an incentive for the consulting business — which naturally wants as many fee-paying clients as possible — to also embrace non-Achain solutions.

In reality, the blockchain consultancy is an entirely separate thing from crypto investors who just want the price of ACT go up. Accordingly, the success of the first is likely to have little, if any, impact on the second.

Summing up our sub-indexes

Technology. Achain is basically a plain-vanilla DPoS ledger with an emphasis on "continuous forking," or side-chains as a scaling solution. It claims to have a hard ceiling on the number of tokens that can be created. But this is misleading, because as side-chains proliferate, so also does the total supply of ACT. Also, requiring new tokens for each side-chain application is a flawed business model, which weighs further on Achain's score on this sub-index.

Adoption. Most blocks are presently running empty, which indicates very little usage of Achain main blockchain. This may partly be because Achain wants each application to run on its own side-chain ledger. This causes usage to be spread across many different ledgers instead of concentrating transaction volume on Achain's main blockchain. On top of that, developer support appears lackluster — which also isn't surprising for an open-source project with low participation, and only sporadic updates.

Investor Risk/Reward. From its January high of $1.34, ACT is down a whopping 99% and still falling. This is how the market treats a cryptocurrency it considers mediocre with little chance of surviving long-term.

The bottom line

Achain's business selling DLT consultancy services could be a big hit. The company's software engineers clearly know the technology well enough to advise any company looking to implement it.

But we don't rate consultancies. We rate cryptocurrencies for investors — a very different thing.

Moreover, rekindling any enthusiasm for ACT among end users, developers, or investors after such a spectacular loss in value is certain to be an uphill battle.

Accordingly, Achain gets an initial Weiss Cryptocurrency Rating of D+.

Best,

Juan

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